

PFTUI Intelligence Report

June 18, 2026

Cycle Deep-Dive: Major Cycle Theory & the State of Markets

By Skylar Simoncelli

Confidential

There is a particular kind of market that is hard to read precisely because nothing is obviously broken. This is one of them. The S&P 500 sits at the 96th percentile of its one-year range, the VIX is pinned near the floor at 16, and the Nasdaq just printed fresh records — and yet, underneath that glassy surface, Bitcoin is grinding along its lowest levels in a year, oil has fallen hard, and the precious-metals complex spent the week whipsawing violently before closing roughly where it started. The question worth sitting with this week is whether that split-screen is noise — or the opening act of something much bigger.

The week on the tape

ASSET	PRICE	WEEKLY	NOTE
Bitcoin	\$62,766	+1.1%	a hair off its 1-year low; RSI deeply oversold
Gold	\$4,214	+2.8%	whipsawed but still in a structural uptrend
Silver	\$65.53	+2.1%	wild intra-week swings, the high-beta cousin
WTI Crude	\$75.23	-16.6%	the war premium drained out
S&P 500	\$7,501	+3.1%	record territory, 96th percentile
Nasdaq 100	\$30,406	+6.2%	AI leadership, new highs
VIX	16.4	-23.8%	complacency, 8th percentile
10Y Yield	4.45%	-1.7%	drifting lower, not collapsing

The single cleanest story of the week is oil. Crude fell roughly 17% as the Iran-US ceasefire held and the geopolitical risk premium that had been propping up energy simply evaporated. That unwind rippled outward: it pulled the whole commodity

complex around, took some steam out of inflation fears, and reminded everyone that a lot of the "stagflation" pricing of recent months was really just a war trade in disguise. Equities, meanwhile, kept climbing the AI wall — but the leadership is narrow, and a market making new highs on fewer and fewer names is a market worth watching closely.

The big question: has the major cycle topped?

The reason this week matters is that it has the texture of a turn. Risk assets are rolling over in sequence rather than all at once — crypto first, then commodities, with equities still partying at the top of the staircase. That is exactly what a major top tends to look like in slow motion: not a single dramatic crash, but a rolling, asset-by-asset erosion that takes quarters, not days.

So let's take the hardest version of the bear case seriously. Cycle theory is really just a set of nested clocks. The longest hand is the **Kondratiev long wave** — the ~40-to-60-year rhythm of the underlying technology platform, from steam to rail to electricity to the automobile-and-oil age to information technology, and now, plausibly, AI. Inside it turns the **generational cycle** that Strauss and Howe described — roughly 80-to-100 years through four "turnings," ending in a Crisis era many believe we are living through now. Inside that runs the ordinary **business cycle**, about five and a half years from expansion to peak to contraction to trough. And nested tightest is the framework crypto traders argue about most — Bob Loukas's halving-anchored set, a ~16-to-18-year "great cycle" containing about four of the familiar four-year cycles.

The bearish reading says the great cycle has rolled over, and we are early in a multi-year winter: equities mean-revert from their complacency, Bitcoin makes lower highs, commodities chop, and the only things that work are patience, cash, and gold. It is a coherent story. But here is the honest answer: **the evidence does not yet support a major top — and it cannot rule one out either.** That tension is the whole point.

Here is why. The four-year Bitcoin cycle and the sixteen-year great cycle are observationally identical right up to the next low. Both say the same thing today: price is near its long-term moving average, sentiment is washed out, and you accumulate. The consensus low clusters around **October 2026 in a \$40-55k band** — and that is true whether you think a new bull follows it or a lower high does. The two theories only diverge after that low, and they reveal themselves through a single number: whether the next rally clears Bitcoin's prior peak of about **\$124,750** (a new bull, cycle intact) or fails beneath it (a lower high, major top confirmed). Everything before that is shared script. The schism is one line on a chart, and it doesn't get drawn until next year.

What the history actually measures

This is where it helps to put numbers on the folklore instead of arguing about it. Running the strategies against the full price history is clarifying — and humbling.

Bitcoin trading below its 200-week moving average — exactly where it sits today — has historically been the **accumulation zone, not the place to flee**: forward returns from that zone have run dramatically better than from above it. Oversold readings like the current one have, on average, been followed by solid gains over the subsequent three to six months. In other words, the measured history says the "winter" is when the money has been made — by buyers, not sellers.

Gold tells an even cleaner story. It pays you when it is above its long-term moving average, which it is now; and — most relevant to the bear thesis — gold has roughly doubled its typical return during the stretches when equities were below their own long-term trend. That is the measured version of "safe haven in the long winter": if stocks ever do roll into a real downturn, gold is the asset history says holds up.

But every one of those numbers carries the same asterisk, and intellectual honesty demands stating it plainly: **they are all drawn from a single era** — a Bitcoin bull market that always recovered and a quarter-century of falling real rates that flattered gold. A statistic built entirely inside one regime is, by construction, silent about the regime ending. And Bitcoin has lived through exactly zero complete sixteen-year cycles, which means the major-top thesis can be narrated but not yet measured. Anyone selling you certainty in either direction is selling you their position.

Two outside facts are worth holding onto, because they cut against the gloom. First, the analyst whose framework the "major top" crowd leans on — Loukas himself — currently leans cycle-intact, not topped. And second, the dominant long-wave reading actually places 2024-2026 near the trough of the technology cycle, with AI as the next up-leg — the near-opposite of "winter is beginning."

What to watch

- **The Fed, not the rumor of the Fed.** Despite the chatter, the policy market prices no July cut and even a meaningful chance of a hike. Gold's structural case stands on its own; just don't underwrite it on a rate cut that hasn't arrived.
- **Whether equity calm finally cracks.** A major top needs the contagion to reach stocks. Until the VIX breaks higher and the S&P loses its own long-term trend, this remains a crypto-and-commodity flush inside an intact equity bull — not the winter itself.

- **Bitcoin's October test.** The decision is the same under every honest reading between here and then: accumulate patiently near the lows, but don't presume the launch.

Bottom line

The most useful posture this week is not a forecast but a frame. Buying weakness near long-term support is the right move whether the four-year cycle is merely resting or the great cycle has turned — the two only part ways after the next low. Hold gold as the one asset the history rewards in the scenario you'd least enjoy. Keep some powder dry for the version of the world where patience, not conviction, is the edge. And mark the real test on the wall for next year: does the rally clear \$124,750, or fail beneath it? Everything before that is shared; everything after is the answer.

This newsletter is general market commentary, not investment advice.

Generated by pftui Intelligence Engine | pftui.com